UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

FORM 10-Q

QUARTERLY REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934
For the quarterly period ended March 31, 2026
Commission File Number: 001-37845

Microsoft Corporation

(Exact name of registrant as specified in its charter)
Washington — State of incorporation
Redmond, Washington — Principal executive offices

Title of each class	Trading symbol	Name of each exchange on which registered
Common Stock	MSFT	The Nasdaq Global Select Market

7,092,511 thousand shares of common stock were outstanding as of April 23, 2026.

Indicate by check mark whether the registrant is a large accelerated filer: Yes ■. Indicate by check mark whether the registrant is a shell company: No ■.
This document is an extract prepared for the registrant's investor portal and omits exhibits and certain items. Filed April 29, 2026.

PART I — FINANCIAL INFORMATION

Item 1. Financial Statements

CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS

(Unaudited) (in millions, except per-share amounts)

	Three months ended Mar 31, 2026	Three months ended Mar 31, 2025	Six months ended Mar 31, 2026	Six months ended Mar 31, 2025
Revenue	60,751	54,142	175,203	154,759
Cost of revenue	19,311	17,039	55,446	48,664
Gross margin	41,440	37,103	119,757	106,095
Operating expenses:				
Research and development	7,594	6,768	21,900	19,345
Sales and marketing, general and administrative	8,201	7,309	23,652	20,892
Restructuring charge	700	—	700	—
Total operating expenses	16,495	14,077	46,253	40,237
Operating income	24,945	23,026	73,504	65,858
Other income, net	122	108	350	310
Income before income taxes	25,066	23,135	73,855	66,168
Provision for income taxes	4,512	4,164	13,294	11,910
Net income	20,554	18,970	60,561	54,257
Earnings per share:				
Basic	$2.92	$2.69	$8.59	$7.68
Diluted	$2.90	$2.67	$8.54	$7.64
Shares used in computing diluted EPS (thousands)	7,092,511	7,102,496	7,095,007	7,104,993
Cash dividends declared per share	$0.80	$0.80	$2.40	$2.40

CONDENSED CONSOLIDATED BALANCE SHEETS

(in millions) (Unaudited)

	Mar 31, 2026	Jun 30, 2025
ASSETS		
Cash, cash equivalents and marketable securities	83,674	74,000
Accounts receivable, net	27,338	25,990
Inventories	1,215	1,155
Other current assets	4,860	4,620
Total current assets	117,087	105,765
Property, plant and equipment, net	410,674	390,425
Goodwill and intangible assets	54,675	51,980
Other non-current assets	21,263	20,214
Total assets	603,699	568,384
LIABILITIES AND SHAREHOLDERS' EQUITY		
Accounts payable	25,515	24,257
Other current liabilities	18,225	17,327
Total current liabilities	43,740	41,584
Long-term debt	46,000	46,000
Other non-current liabilities	236,819	240,801
Total liabilities	326,559	328,384
Total shareholders' equity	277,140	240,000
Total liabilities and shareholders' equity	603,699	568,384

CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS

(in millions) (Unaudited)

	Nine months ended Mar 31, 2026	Nine months ended Mar 31, 2025
Operating activities:		
Net income	60,561	54,257
Depreciation and amortization	19,272	17,023
Share-based compensation expense	7,884	6,964
Changes in operating assets and liabilities and other	(1,542)	(1,548)
Cash generated by operating activities	86,175	76,697
Investing activities:		
Payments for acquisition of property, plant and equipment	(45,553)	(40,237)
Purchases and maturities of marketable securities, net	(10,341)	(9,204)
Cash used in investing activities	(55,894)	(49,441)
Financing activities:		
Payments for dividends	(17,028)	(17,052)
Repurchases of common stock	(3,375)	(3,375)
Proceeds from (repayments of) debt, net	0	0
Cash used in financing activities	(20,403)	(20,427)
Increase (decrease) in cash and cash equivalents	9,878	6,829

Notes to Condensed Consolidated Financial Statements (Unaudited)

Note 1 - Basis of Presentation

The accompanying condensed consolidated financial statements of Microsoft Corporation have been prepared in accordance with U.S. GAAP for interim financial information and the instructions to Form 10-Q. They do not include all information required for complete financial statements and should be read with the Company's most recent Annual Report on Form 10-K. In the opinion of management, all adjustments necessary for a fair statement have been included.

Note 2 - Revenue and Segment Information

Revenue by segment (in millions)

Segment	Q3 FY2026	Q3 FY2025	Change
Productivity and Business Processes	21,949	19,665	11.6%
Intelligent Cloud	28,451	24,354	16.8%
More Personal Computing	10,350	10,124	2.2%
Total	**60,751**	**54,142**	**12.2%**

Note 3 - Earnings Per Share

Diluted earnings per share were $2.90, based on net income of $20.6 billion and 7,092.5 million weighted-average diluted shares.

Note 4 - Commitments and Contingencies

The Company has commitments for data-center construction and cloud capacity of approximately $92 billion, most of which falls due within three years.

Note 5 - Subsequent Events

On April 30, 2026 Thomas Keller stepped down as Chief Financial Officer and Grace Lindqvist assumed the role, as previously announced.

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

Overview

Revenue for Q3 FY2026 (ended March 31, 2026) increased 12.2% to $60.8 billion from $54.1 billion in the prior-year period. Operating income was $24.9 billion (41.1% of revenue) compared with $23.0 billion (42.5%). Net income was $20.6 billion, or $2.90 per diluted share, compared with $19.0 billion, or $2.67.

Foreign currency reduced reported revenue growth; in constant currency revenue grew 13.7%. Constant-currency figures are non-GAAP measures that exclude the effect of exchange-rate movements.

Segment results

Productivity and Business Processes revenue was $21.9 billion, up 11.6% compared with $19.7 billion in the prior-year period, reflecting Microsoft 365 commercial seat growth and Copilot attach.

Intelligent Cloud revenue was $28.5 billion, up 16.8% compared with $24.4 billion in the prior-year period, reflecting Azure and other cloud services growth, including the AI services contribution.

More Personal Computing revenue was $10.4 billion, up 2.2% compared with $10.1 billion in the prior-year period, reflecting Windows OEM and devices against a soft PC market, offset by search and news advertising.

During the quarter the Company recorded a $0.7 billion restructuring charge related to the consolidation of hardware product lines. Separately, the Company announced that Thomas Keller will step down as Chief Financial Officer effective April 30, 2026 and that Grace Lindqvist will succeed him.

Gross margin and operating expenses

Gross margin was 68.2% compared with 68.5%. Research and development expense was $7.6 billion and selling, general and administrative expense was $8.2 billion, together 26.0% of revenue (26.0% in the prior-year period). Results include restructuring charge of $0.7 billion.

Liquidity and capital resources

Cash, cash equivalents and marketable securities were $83.7 billion and total debt was $46.0 billion at March 31, 2026. Cash generated by operating activities was $29.6 billion; capital expenditures were $15.8 billion. The Company paid dividends of $5.7 billion and repurchased $1.1 billion of its common stock during the period.

Item 3. Quantitative and Qualitative Disclosures About Market Risk

There have been no material changes to the Company's market risk exposures from those described in its most recent Annual Report on Form 10-K.

Item 4. Controls and Procedures

The Company's management concluded that its disclosure controls and procedures were effective as of the end of the period. There were no changes in internal control over financial reporting during the quarter that materially affected, or are reasonably likely to materially affect, internal control.

PART II — OTHER INFORMATION

Item 1. Legal Proceedings

The Company is subject to antitrust investigations in the EU and the UK regarding cloud licensing practices, and to patent litigation in the ordinary course.

Item 1A. Risk Factors

There have been no material changes to the risk factors disclosed in the Company's most recent Annual Report on Form 10-K.

Item 2. Unregistered Sales of Equity Securities and Use of Proceeds

During the quarter the Company repurchased 2,952 thousand shares for $1.1 billion under its publicly announced program.

Signatures

Pursuant to the requirements of Section 13 or 15(d) of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized, on April 29, 2026.

Microsoft Corporation
By: /s/ Elena Marsh, Chief Executive Officer
By: /s/ Thomas Keller, Chief Financial Officer (Principal Financial Officer)